DIAGEO

EU

Our *longstanding* commitment *to Europe*

Diageo is Europe's *leading* premium drinks producer

Our collection of over 200 brands includes some of Europe's most iconic, such as Guinness, Baileys, Ketel One, Tanqueray, Smirnoff, and Johnnie Walker. **We're deeply embedded in Europe – from grain to glass –** and committed to driving real change on key issues that matter to Europeans. As a responsible business, we want to change the way people drink – for the better.

Over **220 million European consumers enjoy our drinks every year**, while the world-renowned quality and expertise of Europe's distilling heritage has helped make the spirits industry one of the EU's top agri-food exports, valued at over 9 billion euros (2023)[1].

Within the EU, Diageo has continued to invest in Europe, with manufacturing and supply sites in France, Germany, Ireland, Italy, and the Netherlands, as well as global business operations in Hungary, creating **over 200,000 jobs** across the value chain. We **directly contribute over €13 billion to the European economy each year**[2]. Diageo also sources more than **€3.5 billion worth of goods and services from European farms and other businesses** each year, including over **500,000 tonnes of European-sourced grain** – a vital ingredient in our whiskies, vodkas, gins, and beers.

At Diageo, we share the EU's policy focus on **growth and competitiveness in a sustainable way** and remain committed to being **a cornerstone of Europe's rich distilling heritage**. Our continued long-term success depends on the people and planet around us, which is why we continue to invest in our European operations, decarbonising our sites and supply chains.

We look forward to working with EU legislators towards **policy that benefits consumers and spirits producers while creating a low carbon future** – one that respects the rich heritage of European spirits, fosters sustainable innovation and growth, and provides equal opportunities for all drinks producers to compete and innovate.

+200
brands

+220 mil.
European consumers

+200k
jobs created

A Spirit of Progress: our plan for *positive societal impact*

We believe doing business the right way contributes to a fair and just society. Diageo's reputation for quality and our long-term economic performance are built upon our **shared purpose of having a positive societal impact**, which sits **at the heart of our business strategy**.

We look forward to working with the EU and national governments to deliver a fair and inclusive transition to a low carbon economy. Our **Society 2030: Spirit of Progress**[3] strategy sets out ambitious targets which are aligned with the UN's 2030 Sustainable Development Goals. This means driving change in **key issues that matter to European citizens:**

- Our industry-leading **inclusion and diversity** goals – within our team, our supply chain, and our advertising – aim to shape a more equitable society while strengthening our business.
- Through our pioneering approach to **consumer information** and choice, we are committed to supporting consumers in making informed decisions for a balanced lifestyle.
- We want people to drink better – not more. Our commitment to promoting a **culture of moderation** is changing the way people drink for the better.

- Through our commitment to **environmental sustainability**, we're investing in areas such as water conservation, net-zero carbon emissions, regenerative agriculture practices, and increasing recycled and reusable content in our products.

We are committed to supporting consumers in *making informed decisions.*

Leaders in *consumer information*

The consumer is at the heart of everything we do. This begins with empowering them through information. Diageo has been a long-standing leader in providing product information to consumers to support a balanced lifestyle and promote moderation, and we're now **pioneering digital tools** that put this information at the consumers' fingertips.

Informing consumers through pioneering digital solutions

As consumers become increasingly conscious about what they eat and drink, there is growing interest in having more information about the products they buy. From ingredients to caloric content to allergen information and more, there is simply not enough space on physical labels to include everything we want to know. There is a **pressing need to present information to consumers** in a way that is comprehensive, accessible, engaging, and easy to update – and fit for purpose in today's digital world.

The **future of food and drink labelling is digital**. In a world where 92% of the population is expected to be a unique mobile subscriber by 2030[3], the transformative shift of all things digital – including digital labelling – is here to stay.

In April 2023, we launched our QR code-based **Consumer Information Platform (CIP)[5]**, which provides consumers with a full list (in their local language) of nutritional information, ingredients and, where required by local legislation, recycling and sustainability information. This has since expanded to include information about alcohol and health.

The many different digital labelling regulations at the national and EU level creates gaps and barriers that disadvantage consumers and disrupts the Single Market. The revision of the **Food Information to Consumers (FIC) Regulation** is a unique opportunity to devise a **coherent, EU-wide approach to digital labelling** of food and drink. By streamlining regulatory requirements, this can enhance consumer confidence and promote fair competition within the Single Market.

Continuing our commitment to on-pack information

In addition to digital labelling, labels on Diageo's brands include essential details such as alcohol content, nutrition information, and responsible drinking messages, underscoring **our dedication to promoting informed consumption choices**.

We remain **committed to engaging in constructive dialogue and collaboration** with policymakers, public health experts, and stakeholders to explore innovative approaches that empower consumers effectively to make responsible choices.

Changing the way people drink *for the better*

We want to **change the way the world drinks for the better**, and we are striving to revolutionize global drinking cultures by **promoting moderation and actively combating alcohol misuse**. This aligns seamlessly with the EU's focus on promoting responsible consumption and public health, making our efforts integral to broader initiatives aimed at fostering healthier lifestyles.

Raising Europe's collective DRINKiQ and tackling alcohol misuse

Diageo is committed to **promoting health literacy while tackling health harm**. Our leading **DRINKiQ**[6] initiative aims to increase public awareness about the effects of alcohol. DRINKiQ is available across Europe – in 22 local languages – encouraging individuals to drink better, not more. While a large majority of those who choose to drink across Europe do so moderately[7], we are committed to tackling alcohol abuse and continue promoting consumers' access to information and knowledge.

In Hungary, we partnered with Sziget, the biggest summer festival in Central Eastern Europe, to deliver an innovative DRINKiQ campaign. Through reusable cups, festival branding and social media, we delivered responsible drinking messages and leading tens of thousands of people to visit our DRINKiQ platform[8].

Through our campaigns, we reach more than 134 million consumers[9] with messages that promote moderation. By our advocacy for responsible alcohol consumption[10], we aim to:

- Reach 1 billion people with dedicated responsible drinking messaging
- Educate 10 million young people, parents and teachers on the dangers of underage drinking
- Partner with international organisations to promote changes in attitudes to drink-driving, reaching five million people by 2030

5mil

people to be educated on *drink-driving risks*

10mil

people to be educated on *underage drinking*

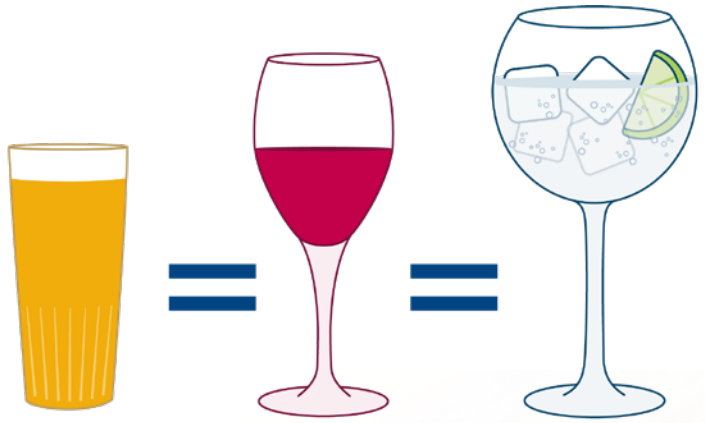
1bn

people to be reached with dedicated *responsible drinking messaging*

All Drinks Are Equal

Our research has found many Europeans **misunderstand the alcohol content in their drinks** and the impact of alcohol on their bodies. Only 58% of EU stakeholders understand that a standard drink of spirits and a small glass of beer or wine contain the same amount of alcohol[11]. Aligned with the EU's values of promoting consumer rights, we envisage an EU regulatory environment that fosters consumer protection and information, public health, transparency, and efficiency.

Diageo's "All Drinks Are Equal"[12] campaign aims to raise awareness amongst consumers and policymakers that **a standard drink of beer, spirit and wine has the same amount of alcohol**[13] and therefore, should be treated equally – for consumer awareness and market competitiveness. Spirits, like beer and wine, are integral to a thriving Europe, yet spirits face significantly higher tax rates and restrictions across Europe[14]. We call for an **evaluation of the Minimum Rates Directive for excise duties** to ensure that spirits are treated fairly.



SMALL GLASS OF BEER: 250ML at 5% ABV

GLASS OF WINE: 100ML at 12% ABV

GIN & TONIC: 30ML Gin at 40% ABV

Promoting *responsible* marketing

The **Diageo Marketing Code** is our commitment to a set of responsible marketing principles which only depict and encourage responsible drinking and never target underage audiences. As a key member of the World Federation of Advertisers' **Responsible Marketing Pact (RMP)**, we are strictly devoted to preventing minors' exposure to alcohol beverage marketing. This is complemented by our signature to the **European Code of Conduct for Responsible Business and Marketing Practices**, highlighting our good practices to the European Commission.

Pioneering grain-to-glass sustainability

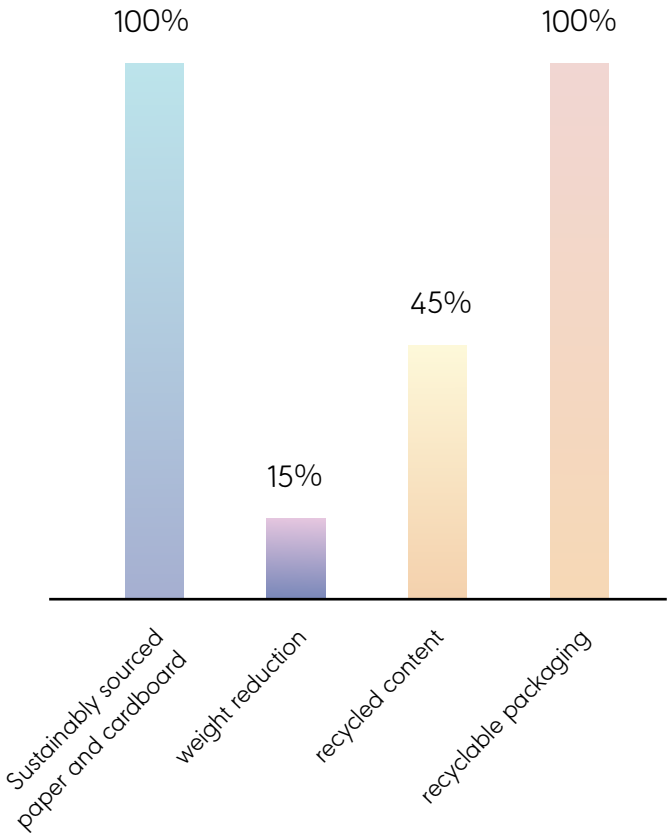
We have a responsibility to ensure that our people, our suppliers, the communities around our operations, our customers and consumers and society at large all thrive as a result of our business. From grain to glass, Diageo is **driving sustainability in the drinks sector** – from the farms where we source our grain like wheat, rye, and barley, through our use of energy and water in our distilling and production processes, to the packaging and recycling of our bottles

Our ambition: create a world where high-quality, affordable packaging is sustainable and becomes the standard for beverage products

Packaging plays a crucial role in our business: it safeguards product quality and showcases our iconic brands. However, as a major contributor to Diageo's supply chain carbon footprint, we recognise our packaging has a significant environmental impact. The adoption of the new European **Packaging and Packaging Waste Regulation (PPWR)** is a key milestone, but we have not waited for EU legislation to take action.

Our ambition is clear: things that can be reused, must be reused; things that cannot be reused must be recycled into other things. We have set clear targets to reach 100% sustainably sourced paper and cardboard, 15% weight reduction, 45% recycled content, and 100% recyclable packaging by 2030. However, we cannot do this alone: it is critical to partner with the EU and national governments to build a circular economy. This will require un-siloed collaboration and partnership across industry, civil society organisations and governments to build supportive policy frameworks and scale innovative solutions together. Upcoming secondary legislation is expected, from rules to measure recycled content in packaging, design for recycling criteria and guidelines for reusable packaging, we are committed to working with policymakers to ensure that these rules consider the complexities of production and supply chains while supporting strong sustainability goals.

by 2030



Unboxing premium scotch to reduce waste[15]

In 2023, began a thorough review of our whiskies to minimise packaging, and where possible eliminate it - having already reduced packaging weight by 4,4% compared to 2022.

During 2023, we removed 141 million cartons from some of our most iconic Johnnie Walker scotch brands, corresponding to 5,520 tonnes in reduction in carbon emissions. We moved some of our bottles into standard, more lightweight formats, allowing us to take some heavier formats out of the portfolio. These changes have saved almost 4,000 tonnes of glass and 9,170 tonnes of board.

-5,520 tonnes
carbon emission reduction

-4,000 tonnes
of glass reduction

-9,170 tonnes
of board reduction

Grain sourced from regenerative farming

Regenerative agriculture – farming practices that leave the soil, biodiversity, water and environment in a better state than they found it – has the potential to improve the self-sufficiency of the communities along our supply chain around the world, while bringing benefits to our nature, water and climate.
Diageo partners with European farmers to source grains, fruits, and herbs, locally from across Europe. In Ireland[16] and Scotland[17], we are providing farmers with the resources and support they need to embrace **regenerative farming practices**, including training in regenerative agriculture and designing programmes that help restore degraded landscapes. This is just the beginning of our journey towards a social, economic and ecological system that gives back to our surroundings more than it takes.

Such regenerative agriculture practices not only result in a reduction of emissions, but also actively improve soil health, biodiversity, and overall farm resilience, which are all key pillars of the **European Green Deal** and the **Farm to Fork Strategy**. This is why we have prioritised our transition towards regenerative practices throughout our supply chain.

We will collaborate with peers and work with EU policymakers under the next EU mandate to create policies and financial mechanisms that support sustainable, accessible and simplified agricultural practices to ensure a fair transition for farmers and benefit agricultural communities across Europe.

Good things are taking root

Since 2022, Guinness has been working with Irish farmers to define regenerative farming practices tailored to the local and specific needs of Irish barley production[18]. A team of technical partners and agronomists are implementing innovative practices to reduce greenhouse gas emissions, improve soil health, enhance biodiversity and improve water quality.

By 2023, the project had recruited 45 farmers across Ireland and gathered data to let us accurately track the project's impact. Thanks to the Diageo pilot, three-quarters of the soil's carbon footprint is from nitrogen fertilisers[19]. This shows the potential to reduce emissions by at least 30% through regenerative practices and low-carbon fertilisers.

Water conservation and *responsible* stewardship

Water is at the core of what we do. Over 90% of beer and 60% of spirits are made of water[20], and **water is essential to our production processes** and used widely throughout our value chain.
The climate crisis is a water crisis and it is disproportionately impacting the most vulnerable in society. We need to act now: our Society 2030 strategy for water stewardship takes meaningful action to address this material issue for our business with a focus on accessibility, availability, and quality. Diageo is leading our sector with **ambitious water targets** for 2030:

- Reducing water use in our operations, with a 40% improvement in water use efficiency in water-stressed areas and a 30% improvement across the company
- Replenishing more water than we use for our operations for all our sites in water-stressed areas by 2026

We report fully and transparently on our water risks and performance - including in our Annual Report and accompanying ESG Reporting Index. And we are consistently rated high performers in external indices and rankings, including A List for CDP Water.
Water is a global challenge but action has to be hyper local: We can be the most water efficient site, but if we do not work collectively to address our shared water challenges within the catchment, our business will not be resilient.

Collaboration and collective action are essential – bring companies, governments, communities and experts together to work and advocate at global and local levels to ensure a fair and inclusive response to the water crisis. Water management and resilience are expected to be key focus of the next European Commission mandate and we look forward to work with EU legislators to:

- Incentivize/support investment in water reuse & water recycling
- Digitalisation of water monitoring
- Education/upskilling and innovative financial mechanisms to reward the right behaviours

.

Ambitious water targets:

40%
improvement in *water use in* water-stressed areas

30%
improvement *across the company*

2026
target for *water positivity* in water-stressed areas

Accelerating to a *low-carbon world*

Our societies have an unsustainable reliance on Earth's finite resources. We need significant action to create a sustainable low carbon future and limit the damaging effects of climate change. We are proud to be a signatory to the Business Ambition for 1.5°C and the UNFCCC's Race to Zero and Race to Resilience campaigns to make this happen.
We are full speed ahead to achieving our target of net zero carbon emissions in our direct operations by 2030 and to halving our carbon emissions across our supply chain by 2030. We are working with our peers and suppliers to have all our products made with renewable energy. Electrification, alongside other renewable energy sources, plays a crucial role in this process, not only for our direct operations, but also to support our suppliers in their decarbonisation journey. We are committed to being a strong partner for the EU as we collectively work towards achieving Net Zero and moving to a more circular economy. We believe our ambitious targets will contribute to the EU's 2040 targets.
As we all move towards net zero carbon, we need government interventions that scale up renewable energy infrastructure in combination with price pairing mechanisms to allow business to use clean energy sources at scale.

We look forward to work with EU legislators towards the creation of holistic policy frameworks that support Net Zero objectives and provide certainty for industry, as well as a fiscal and regulatory systems that drive green innovation, investment, and skills.

Ireland's first carbon-neutral brewery[21]

Diageo is investing €200 million in Ireland's first purpose-built carbon-neutral brewery on a greenfield site in Kildare. The state-of-the-art brewery will be powered with 100% renewable energy and harness the latest process technology to minimise energy and water consumption. This will enable the brewery to avoid up to 15,000 metric tons of carbon emissions annually.
The project will contribute to the local and national economies, supporting value-added exports, creating high-quality jobs, and leading the way in sustainable standards for the food and drink industry.

€200mil
investment

100%
renewable energy

15k tons
CO_2 avoided

2030
net zero across direct operations

2040
EU Climate Target

2050
net zero across the entire supply chain

Let's work *together*!

We believe in cultivating a constructive dialogue with policymakers, regulators, and stakeholders to ensure a thriving and sustainable future for our sector and Europe.

We also advocate, alongside our peers and partners, for policies that promote fair competition, responsible consumption, and a commitment to environmental responsibility.

We hope to work together with you.

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DIAGEO

EU

Celebrating life,
every day,
everywhere